It did not. Demonetization in 2016 delivered the final blow, taking away the major driver of speculative demand. Misreading the situation, many NBFCs and HFCs decided to throw a lifeline to many builders in this beleaguered industry, by lending to projects at very high rates of interest. Excessive borrowing and stalled offtake of constructed houses made residential real-estate builders and companies suffer more. As a result, many accumulated loan liabilities far in excess of the value of assets they held. Builders became insolvent, which transferred the stress of loans taken to NBFCs, HFCs and banks, which funded them by raising funds from mutual funds (MFs) and banks riding on cheap liquidity available after demonetization. As the demonetization largesse reduced and the IL&FS crisis happened, these lenders of last resort also sputtered, cutting off all liquidity (ILFS, the largest infrastructure and infra-financing conglomerate in India, collapsed in 2018 under the weight of overvalued projects and excessively leveraged finances, with considerable sharp and unethical practices hidden behind the debacle). The residential real-estate industry collapsed in 2018.

Lakhs of completed units had no buyers in 2019–20 and most part of 2020–21. Lakhs of incomplete units are still stuck at end-2021 and not getting completed on account of project companies and promoters becoming insolvent. DHFL, a major housing finance company with assets exceeding Rs 1 lakh crore, was admitted under the Corporate Insolvency Resolution Process (CIRP). It had loans in excess of Rs 40,000 crore outstanding towards real-estate developers. Later, the law was amended to allow resolution of financial companies like DHFL through the Insolvency and Bankruptcy Code (IBC) process. DHFL was finally sold to an NBFC with lenders and investors suffering a massive haircut.